

Dudalina: growth strategies in the value chain

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Sônia Hess de Souza, the CEO of Dudalina, a leading Brazilian apparel manufacturer, was in her office in São Paulo for a meeting with the executive board to determine the company's growth paths. It was an afternoon in July 2014, when they begin to plan how investments would be allocated over the coming years.

¹ This case study is solely for the purpose of classroom discussion and does not propose to render an opinion on managerial effectiveness or ineffectiveness or to serve as a primary source of data.

In recent years, Dudalina had implemented strategic actions to reposition the brand in Brazil's apparel industry. Despite operating in a labor-intensive industry with low productivity, rising labor costs and the entry of imported goods, Dudalina had managed to execute a successful product-differentiation strategy. With its origins as a supplier of articles to other brands, in 2010, it launched a women's line under a private-label brand and, in the following year, opened almost 100 stores, which included both owned and franchised units. While many competitors had tended to acquire articles made by third parties, including abroad, Dudalina had six own production units located in Brazil's South. Combined with managerial practices to boost employee productivity, investments in production automation and quality control played a decisive role in the execution of the company's strategy.

In the meeting, the company should decide how to sustain its growth over the coming years and how to allocate its investments. Traditionally it had sought to grow more organically, with growth balanced among its manufacturing capacity, own brands and retail points of sale. In 2014, its production facilities manufactured around 80% of the articles sold, but the possibility existed of more aggressively growing its points of sale at the "frontend" of the value chain, supported by an increase in the share of outsourced production, possibly by a foreign partner. Alternatively, a suggestion was made to concentrate investments in expanding the company's manufacturing base, at the "backend" of the value chain, supporting a larger assortment and new product lines. Should the company continue to grow more organically in its manufacturing base and retail operations by investing in the two ends, or should it focus on outsourcing and/or opening franchises?

Brazil's apparel chain

The apparel production chain includes a long sequence of activities, from agricultural operations to produce plant fibers and the chemical industry to apparel manufacturers and retailers, up to the final consumer. Brazil is one of the few places in the world where you can find all of the phases that typically form the chain (Appendix 1).

Before the opening up of the Brazilian economy to foreign trade in the 1990s, the textile industry was highly vertically oriented, with many companies performing internally all of these various phases. However, due to high labor and logistics costs, the low productivity rates of the country's industrial sector and the gradual process to deregulate the industry, the entry of imported goods posed challenges to the industry's competitiveness. Given their increased exposure to international competition, Brazilian companies began a de-verticalization process. Many apparel manufacturers began to outsource production and, in many cases, to import articles from suppliers located abroad, especially in China, that enjoyed high economies of scale and low labor costs (Appendix 2). And these foreign goods are imported even into markets with a certain degree of protection, since import duties correspond to approximately 35% of the value of the article.

In 2013, Brazil's apparel industry posted sales of US\$27 billion (Appendix 3), and the chain's manufacturing base (weavers and apparel manufacturers) included some 23,000 companies. The industry is generally highly labor intensive and marked by a high degree of informality. Often the clothing is made in homes or in improvised production spaces. With low investments in machinery, small scale and the intensive use of labor, the informal apparel industry tends to be marked by low productivity. From 1996 to 2009, employee productivity in the textile industry registered an average annual decrease of 0.4%,² which ended up creating a huge disadvantage for the local industry in relation to international producers (Appendix 4).

On the other hand, Brazil's apparel sales are highly concentrated in specialist retailers, which, in 2013, accounted for 81% of the market. Estimates for the same year indicate the existence of more than 250,000 specialist apparel retailers in Brazil, resulting in a highly fragmented industrial structure. The five largest competitors controlled approximately 13% of the market in 2013, which was dominated primarily by Brazilian manufacturers, such as C&A, Renner, Riachuelo, Marisa and Hering (Appendix 5). However, most retailers tend not to depend on these large competitors, selling products in multi-brand stores located on streets with high traffic.

Multi-brand stores should tend to remain highly relevant, since, due to the intense competition among apparel manufactures and the limited visibility of one specific brand in such stores, apparel makers began to invest more in owned stores and franchise chains. For example, Hering and Lupo invested aggressively in the rapid growth of their owned store chain. In addition to the vertical orientation at the frontend of the apparel industry, the market began to experiment in the progressive specialization of retailers, e.g., the Riachuelo apparel chain invested in stores exclusively for the women's segment. And distribution channels also worked to differentiate themselves geographically. Single-brand stores typically concentrated on large urban centers, while inland and rural areas were served by multi-brand stores.

Another future trend is Internet retailing, whose sales reached approximately R\$22.3 billion in 2013.³ In the same year, fashion and accessories became the product category with the highest Internet sales, accounting for some 19% of order volume.⁴ The rapid expansion of certain e-commerce companies, especially the sites Dafiti and Netshoes, attracted various new players, such as Shoes4You, Calçados.com.br, Roupas.com, OQVestir and GlossyBox. Furthermore, traditional brick-and-mortar stores also began to consider electronic commerce. For example, Renner invested R\$5 million in its digital platform. However, despite this potential growth, the lack of standardization of clothing sizes in Brazil and the logistics costs

² Calculated based on the Annual Industrial Survey conducted by the IBGE.

³ Data from Euromonitor.

⁴ If the two expressions have the same meaning, 19% of orders is preferred to 19% of order volume.

⁵ Data from Webshoppers.

involved in distribution are significant barriers to the channel's development. And, despite their strong growth, sites such as Dafiti and Netshoes posted a series of losses.⁶

On the consumer end, Brazil's lower-income classes enjoyed strong income growth, with 40 million people joining the ranks of the middle class between 2003 and 2011. This trend not only boosted consumer spending, but also created, to a greater or lesser degree, more demanding consumers, with many seeking higher quality products. Nevertheless, with Brazil's slower economic growth, consumer spending has stagnated over the past few years (Appendix 6). Moreover, the growth in lower-cost imported goods began to pressure the profitability of companies competing solely on price. In this scenario, some companies invested in differentiating their brand and design, pursuing higher-income segments less affected by the entry of low-cost goods. That is the case of Dudalina.

Dudalina

In 1953, the couple Adelina Clara Hess de Souza and Rodolfo de Souza Filho acquired a small grocery store in Luís Alves, a city in the inland region of Santa Catarina state. In 1957, Rodolfo, known as "Seu Duda," made an exaggerated order of fabrics in São Paulo and, with this inventory, his wife, Dona Adelina, decided to make some shirts. That marked the birth of shirt maker Dudalina, whose name is a combination of the names of its founders.

The business grew rapidly and new stores were opened in other cities. In 1969, the family moved to the city of Blumenau, where it inaugurated its new headquarters. Initially made in the family's home, in 1997, the shirts began to be made at a production unit in the city of Luís Alves. They had 16 children, and some of them began to work at the company, but Sônia Hess, the current CEO, was the only family member who stayed on in the company's management.

The company's continued to expand not only through new stores and production facilities, but also through new brands. In 1987, it created the brand Individual and, in 1994, the brand Base. In fact, the opening of new production units and the expansion in production capacity were accompanied by an expansion in the company's brand portfolio. However, despite having various brands, before the company prioritized the production and delivery of articles ordered by large clients, such as Brookfield, VR and Zara. As such, Dudalina was basically a manufacturer that supplied shifts and apparel articles to other brands (e.g., under a private-label model).

In 2010, Sônia Hess implemented an action that permanently changed the company's path by launching the brand Dudalina Feminina, which featured women's shirts and blouses with unique designs, which were an immediate hit. According to Sônia Hess:

⁶ Revista Exame. Available at: <<http://exame.abril.com.br/revista-exame/edicoes/1062/noticias/bolha-com-br>>. Accessed on: Oct. 18, 2014. In addition to Brazil's high distribution costs, regulations enable consumers to exchange products at no charge, which exacerbates the effects of logistics costs on these operations.

No brand in the world specializes in women's shirts and blouses. You can buy shirts, such as from Ralph Lauren, but they are not anatomical, since it is a men's shirt disguised as a women's blouse. We created shirts and blouses for women, which is why we call them "shirts and blouses for women who decide." Today in the market, on average, 50% of managerial level professionals are women. These women face problems dressing for their daily routine, and Dudalina developed a solution for them. We rapidly created the desire to have Dudalina in the women's segment.

The positioning of the women's brand was immediately transferred to the men's segment, which, despite being an older line, ended up benefitting from the recently launched women's brand. The move to create new brands was followed by the aggressive entry into the retail business, through both franchised and owned stores. In 2010, a concept store was opened in São Paulo, Dudalina 595, and, in 2011, franchised stores and some owned stores were opened in the states of São Paulo, Santa Catarina, Rio Grande do Sul, Goiás and Minas Gerais and in the Federal District. In July 2014, Dudalina had six production units in the country's South, 99 stores in Brazil and two abroad (Appendix 7).

Dudalina brands and their competitors

In 2014, Dudalina had five brands: Dudalina, Dudalina Feminina, Individual, Base and Base Feminina (Appendix 8). Of these, the two that incorporated the company's name (Dudalina and Dudalina Feminina) focused on professional attire, which internally was referred to as the "office moment." According to the executives, even though Dudalina is present during people's office moment, its shirts and blouses sometimes have a casual touch and can be used outside of work.

However, the brand Individual is positioned specifically in a more casual segment, for use on the weekends. Although the profile of consumers of the brand Individual are the same as those of the brand Dudalina, according to the company's executives, the brands target different shopping moments. Furthermore, clothing from the Individual line is sold in the brand's special stores or in multi-brand stores, i.e., they are not sold in Dudalina stores.

Lastly, Base is more clearly differentiated from other brands, since it targets a young public in its jeans-wear line. This definition is not necessarily based on age bracket, but rather on how young the public feels. Therefore, although both brands have products for use on weekends, Individual is for a more mature public, while Base is for a younger one. Considering all of the brands, in 2014, practically 70% of sales came from the men's segment (Appendix 9).

The brands are also distinguished by the breadth of the product line at the point of sale. The Dudalina brands (from the men's and women's segment) are positioned as "shirt" stores, where consumers can find fashion solutions for their daily lives, with a focus on shirts and blouses (which account for some 70% of the products sold under the Dudalina brand). Despite this focus, there is an effort to expand the product line, especially in the women's

segment. For example, in 2014, the company planned launches of perfumes, footwear and articles for the home under the Dudalina brand. Meanwhile, the brands Individual and Base have broader product lines that include shorts, T-shirts and dresses.

Given Dudalina's positioning in a more premium segment, it can be said that Brazil's main apparel brands (C&A, Renner, Riachuelo, Marisa, Hering) concentrate on different segments, since they tend to attract consumers from a variety of income classes. In general, the prices of Dudalina's brands are higher than those of its competitors (Appendix 10). Base could be the exception, since its sales are potentially affected by brands with higher market shares, such as C&A, Renner and Riachuelo. Individual, Dudalina and Dudalina Feminina are in general affected by the same competitors serving premium markets: VR, Richards, Brookfield, Ricardo Almeida, Les Lis Blanc and others. In general, Dudalina's main competitors are stores that sell men's and/or women's shirts and blouses at single-brand stores in shopping malls in Brazil's major cities. Individual's competitors are also present in the premium shirt and blouse segment in multi-brand stores, especially in cities located in inland regions.

In general, the brands that compete in Brazil are local. However, foreign companies recently have announced investments here, with the opening of stores and the launch of advertising campaigns. That is the case of H&M, Forever21 and Oysho (Inditex, which owns the brand Zara), which planned to open stores in Brazil in 2014. Therefore, Brazil's apparel market is attractive to brands operating in other parts of the world, which are projected to post significant growth over the coming years, potentially reaching cumulative growth of 27.5% between 2012 and 2017.⁷

Another relevant aspect in the premium apparel market in Brazil is piracy (counterfeit products sold in the informal market). For example, Rua 25 de Março in São Paulo is the largest open-air "shopping center" in Latin America, posting annual sales of R\$17 billion.⁸ In many cases, the stores sell counterfeits with the same designs and even falsified labels. The prices of these replicas range from R\$50.00 to R\$100.00, compared to around R\$297.00 for the genuine product. Dudalina-brand Polo shirts and sweaters cost R\$ 25.00 and R\$30.00, respectively, at street vendors in the Bom Retiro district or near Rua 25 de Março in São Paulo. In addition to street vendors, e-commerce sites also sell counterfeit Dudalina products at prices ranging from US\$12.00 to US\$19.00 (Appendix 11).

Dudalina invests around R\$1.2 million annually to combat the counterfeiting of its shirts and blouses. These actions involve hiring lawyers outside of Brazil, since the replicas are produced in Latin America and Asian countries. Registering the ownership of the brand outside of Brazil is problematic, which makes it difficult to combat the production of counterfeit products abroad. Even so, it is possible to collaborate with government

⁷ Data from Euromonitor.

⁸ Available at: <<http://super.abril.com.br/cotidiano/camelista-mercado-informal-pais-mais-rico-planeta-683579.shtml>>. Accessed on: Oct. 13, 2014.

enforcement agencies. In Brazil, every day these enforcement agencies have closed around 11 illegal websites and seized around 300 to 3,500 articles of clothing. Dudalina also created a security label with a holographic line that enables consumers to confirm whether the garment is genuine or counterfeit.

Activities in the value chain

Design

To support its premium positioning, Dudalina focuses on integrated product conception and design processes, high-precision production and distribution at points of sale. The company's stylists are responsible for designing new collections. The process begins with a discussion on the successes and failures of the previous collections. Then the stylists seek inspiration in places recognized internationally for fashion, such as Paris, Milan, Barcelona and London, but with adaptations to Brazilian preferences. The collection is presented to the executive board and many guests in a type of fashion show, when the executives conduct evaluations and suggest changes. According to one of the stylists, designing new shirts and blouses is a permanent challenge, given the need to innovate, while seeking to "do the same thing differently."

However, new collections are not conceived and designed by just one stylist. The process is multidisciplinary, given Dudalina's highly automated production process. The technical considerations of the feasibility of producing the models designed by the stylists are discussed also with representatives from the industrial processes and product engineering teams. The fact that employees have in-depth knowledge of all of the company's processes is noteworthy, with the stylists themselves seeking technical solutions for the production of their designs. Meanwhile, workers at production units also participate and have knowledge of the process involved in creating new collections. As a result, Dudalina is able to create 18 collections and 23,000 SKUs⁹ per year.

Production processes

What makes possible this coordination between the manufacturing and design teams for creating such a vast range of products is the use of one of the most modern production systems in the industry in Brazil. And, despite the high supply of labor for the industry, Dudalina invests in automating its production processes (Appendix 12). However, it produces only pants, shorts and shirts/blouses, purchasing its other products from other companies: suits and ties from an Italian company, Dudalina's polo shirts from Peru and the other brands from other suppliers in Brazil. However, in 2013, outsourced products accounted for only 20% of the company's sales. In 2014, its six production plants manufactured between 10,000 and 11,000 shirts/blouses per day, processing 15,000 square meters of fabric. This configuration involving a highly vertically orientation of its production

⁹ In the case of Dudalina, one stock keeping unit (SKU) is a shirt model M, size S.

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is relatively rare among Brazil's apparel retailers. One important exception is Riachuelo, which has Guararapes, its own apparel manufacturing company, although approximately 50% of its products are imported.¹⁰

The production process can be divided into two main phases: (1) receiving the fabrics and cutting it based on the patterns, and (2) sewing the pieces of the shirt/blouse. The shirts/blouses then go to a distribution center and are distributed to fill the orders made by the owned, franchised and multi-brand stores.

So the production process begins with the shipment to the company of the raw materials, since it is not involved in the knitting and weaving phases of the production process. Around 80% of the fabrics used by Dudalina are imported primarily from three countries: South Korea, China and India. Its main suppliers are located in India and in fact are Italian companies that have set up facilities in the country. Dudalina must import most of its fabrics, since locally produced fabrics do not have the level of quality demanded by the company. The remaining 20% of the fabrics are sourced from Brazilian manufacturers. Other key inputs include silk, which is imported from South Korea or supplied by a company located in Petrópolis, Rio de Janeiro, and interfacing,¹¹ which is imported from Germany.

The production unit in Blumenau, Rio Grande do Sul, which receives these raw materials, is responsible for the first phase of the production process. The fabrics are selected and cut in accordance with the headquarters' production program, which is based on the designs selected. The first phase is capital intensive, with the machines cutting hundreds of pieces in a short time (Appendix 12). There are also machines to embroider the brand logo on the shirt and to sew the label. The productivity gains captured by these machines have been high. For example, the machine for sewing labels has cut by half the time spent on the operation, which now requires only one operator, instead of four seamstresses in the previous process.

In this first production unit, productivity and quality indicators are monitored on an hourly basis, especially to avoid duplicated efforts. The company works to develop multi-functional employees, i.e., who can perform different operations. In this way, if an employee is absent, there is no interruption in the production flow. Once the fabric processing phase is concluded, the silk, interfacing and other inputs are combined in lots with the cut articles and the other items for making the shirts/blouses, pants or shorts (buttons, zippers, etc.). The lots are assembled based on a production schedule planned by the headquarters and then sent to the other production units along with everything needed to produce the products.

Once the lots are received at the production units in Luís Alves, Presidente Getúlio and Benedito Novo in the state of Santa Catarina and in Terra Boa in the state of Paraná, the second phase begins. The production model is inspired by the Toyota system called constant

¹⁰ Data for 2010.

¹¹ Interfacing is a material affixed to a garment to make an area, such as shirt collar, more rigid.

crossing speed (*velocidade de atravessamento constante* - VAC)¹² (Appendix 12). VAC is a production line model that consists of carts with intermediate parts that move along work cells at half-hour intervals. Each cell is balanced for a half hour of work, which includes verifying productivity and the quality of the intermediate product. A shirt/blouse, which has from 20 to 23 components, is progressively completed as the cart advances along the production line. This second phase is labor intensive, since the work cells are formed by groups of seamstresses.

Once the process is completed, the finished shirts/blouses at the four production units are shipped to the headquarters in Blumenau, which, in addition to designing collections and scheduling production, also stocks the finished products and controls their distribution. This control is relatively simple and low cost. Usually the orders placed are for small volumes, since they serve practically 100 owned stores and over 3,000 multi-brand stores. Dudalina has eight partner freight carriers that are responsible for the logistics of intermediate products between production units, as well as for the distribution of products nationwide.

Given the number of collections and the range of products involved, it is important that the shirts/blouses be produced as quickly and efficiently as possible. In 2014, Dudalina's lead time¹³ was three weeks for shirts/blouses and four weeks for pants. For comparison purposes, Hering, for example, had a lead time of 45 days. According to Dudalina's production executives, outsourcing to foreign suppliers would increase lead time even further, with the planning phase having to be conducted six months in advance.

People

In this complex production system, in order to maintain a continuous flow as well as high productivity indicators, Dudalina has an aggressive employee compensation system. In 2014, around 50% of the compensation of seamstresses was variable. Meanwhile, 50% of this variable portion was formed by a production and quality bonus and 50% by a profit sharing program. As the name suggests, the production and quality bonus is based on the criteria of quantity and quality, since only defect-free articles are counted. The bonus is based on the productivity of a production line, and each line is formed by groups of production teams. Therefore, although productivity and quality are evaluated individually, compensation is based on the group's work. The bonus also considers employee attendance, since absences in the group can interrupt the process.

The teams are formed mostly by multi-functional seamstresses who are qualified to perform more than one operation in the phase in which they work. A detailed control is kept of the operations for which each seamstress is qualified to perform, as well as their level of productivity in each operation. According to one of the company's executives, Dudalina's

¹² This tool was developed by the textile school Centro de Tecnologia da Indústria Química e Têxtil do Senai (CETIQT), in Rio de Janeiro.

¹³ The period between the start and end of a production activity.

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success is due to its people, a concept that is even expressed in the company's logo, "love for shirts and people". In 2013, Dudalina figured in the ranking of the best Brazilian companies to work for based on the survey conducted by the Great Place to Work.

Meanwhile, profit sharing is paid based on the company's profit and is distributed to 100% of employees proportionately to their base salary. Profit sharing is distributed uniformly, varying only in accordance with the nominal base salary of each employee and consisting of two components: one corresponding to 70% of net income and paid automatically, and another corresponding to 30% of net income and distributed based on the overall targets for revenue, productivity and quality. According to one of the executives, the profit sharing distributed in 2011 and 2012 varied from an average of 4.15 to 6.15 nominal monthly salaries per year. This means that, on average, in 2012, each employee earned more than 18 monthly salaries.

The company's executive structure also has changed substantially over the years. Due to the company's family origin, the founder, D. Adelina, began to professionalize its management from early on. A family council was created to discuss matters, as well as a board of directors that works jointly with the executive board. After the acquisition, in 2013, by investors from Warburg Pincus and Advent International, the family council was eliminated, with a single board of directors remaining. Appendix 13 shows Dudalina's organizational structure in 2014.

Retailing

The retail business has posted average annual growth of 23% since its operations began in 2010. When launching its women's line, Dudalina conducted tests in a seasonal shopping mall in Campos do Jordão, São Paulo and soon identified a concrete growth opportunity. To take advantage of this opportunity and achieve the visibility the product deserved, the company launched the new line in the summer, initially through franchised stores.

In 2011, franchises accounted for nearly half of Dudalina's stores (Appendix 14). However, as time passed, the company began to value control over its stores as well and to reduce the number of franchises. In 2014, almost 70% of its stores were owned, which was achieved not just by opening new stores, but also by acquiring stores controlled by franchisees. The company felt that owned stores would enable it to earn higher margins. In early 2014, the Southeast and South regions accounted for 40% and 31%, respectively, of Dudalina's sales revenue from its retail operations.

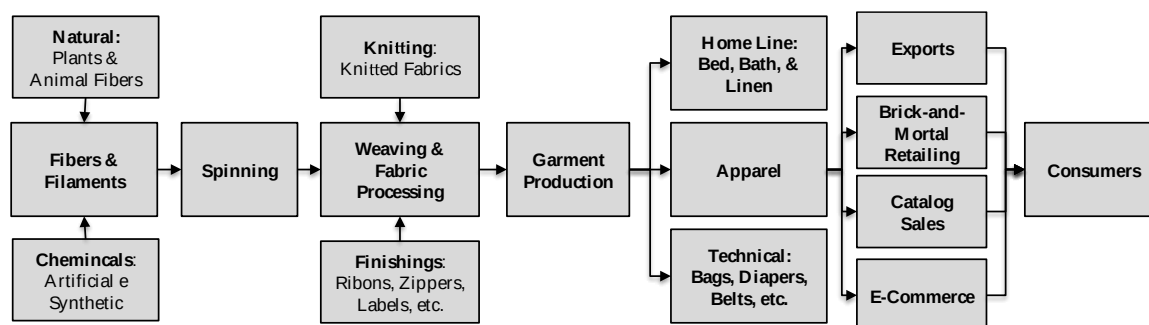
Clothing from the Individual line was sold in special stores under the brand or in multi-brand stores. In 2014, there were three owned stores under the Individual brand located in the cities of São Paulo, Federal District of Brasília and Ribeirão Preto. Meanwhile, clothing from the Base brand was sold in multi-brand channels. Stores with the Dudalina brand (men's and women's), of which 90 were owned stores, were located mostly in shopping malls in Brazil's major urban centers.

Where to pursue growth?

Returning to the offices of Dudalina in São Paulo, Sônia Hess entered the meeting room and sat at the table with her executive officers. The first step would be to review the growth path of the manufacturing and retail operations over the past few years. Although the company had posted good financial results (Appendix 15), the executives asked themselves how to sustain the success of the business and where the company should pursue growth. Should it concentrate more on expanding its retail business? If they were to expand their points of sales, should they also expand their manufacturing infrastructure or could the company expand its sourcing from third-party suppliers? In short, how should they strengthen Dudalina's positioning and guarantee the sustainability of the business going forward?

Appendices

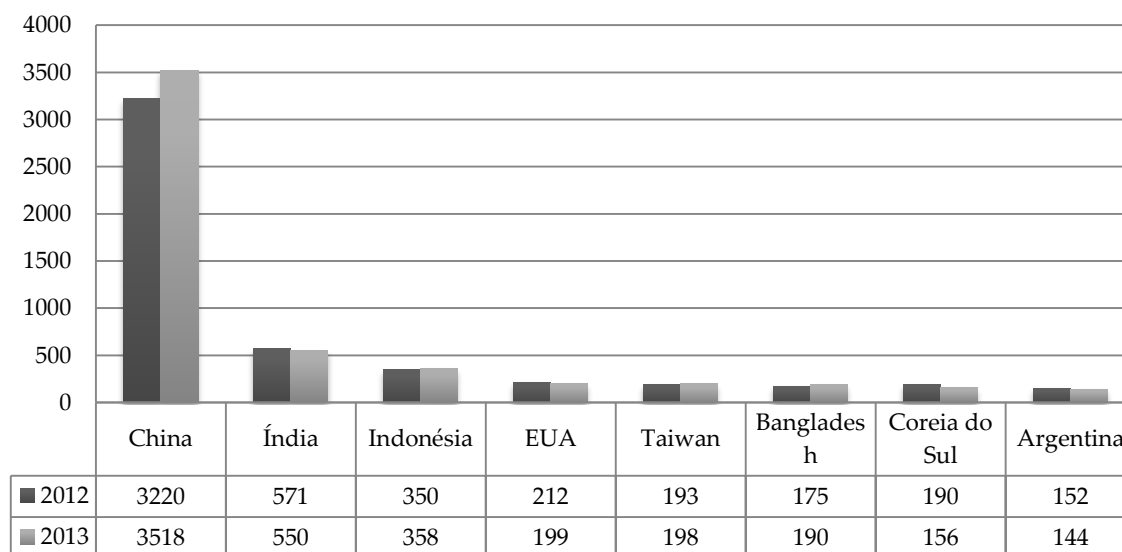
Appendix 1 – Brazil's Textile Production Chain



Source: Brazilian Association of Textile and Apparel Manufacturers (Abit), Annual Report 2013.

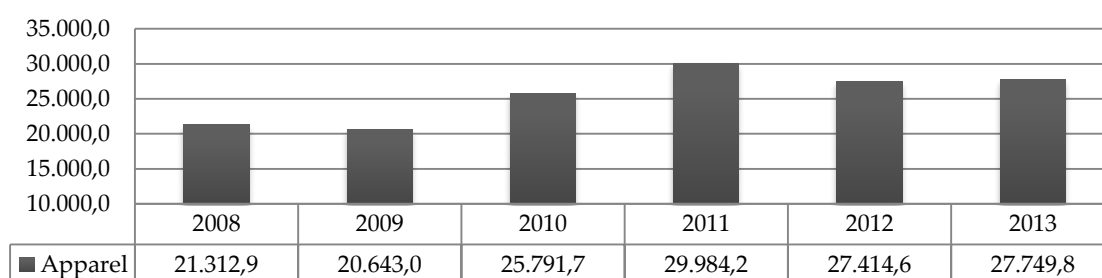
The first phase, fibers and filaments, consists of the production of cotton and artificial and synthetic fibers. In Brazil, the use of cotton predominates, but synthetic fibers are gaining space gradually, especially through the participation of subsidiaries of major foreign companies. The spinning phase consists of producing yarns, which requires high economies of scale. Weaving consists of product processing, the flat fabric production or nonwoven production. Apparel consists of the design, cutting of patterns, grading, pattern fitting, cutting, sewing and finishing. There are three main categories of finished products: apparel, home (bed, bath and linen) and technical (serving other industries) textiles. Lastly, to reach consumers, products can be distributed through specialized retailers, e-commerce, catalog sales and, to a lesser degree, exports.

Appendix 2 – Main origins of textile and apparel imports (excluding cotton fiber, in millions of US\$ FOB), 2012 and 2013



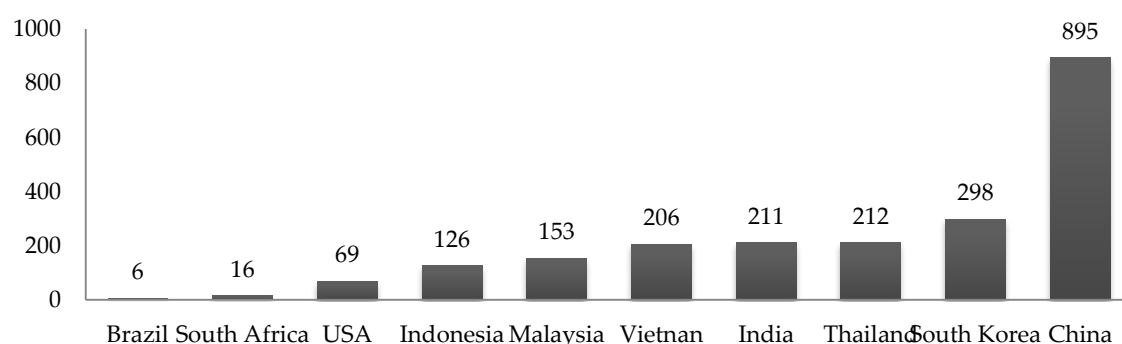
Source: Brazilian Association of Textile and Apparel Manufacturers (Abit).

Appendix 3 – Brazilian apparel production (in US\$ million), 2008 to 2013



Source: Euromonitor.

Appendix 4 – Labor productivity growth (in %), 1980 to 2013



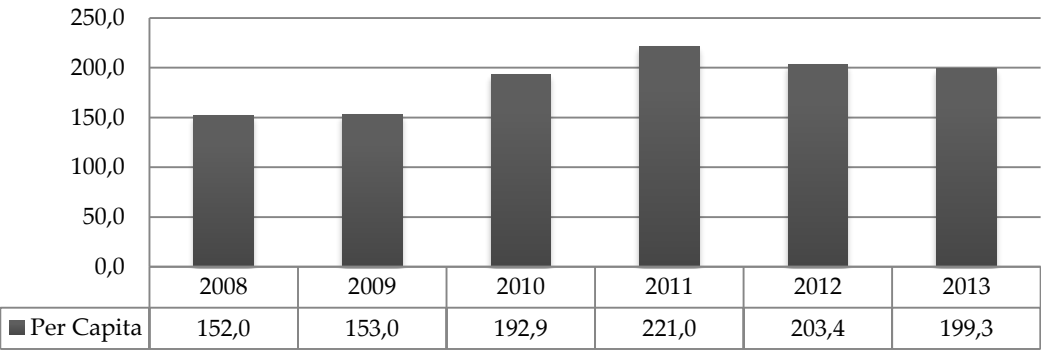
Source: Valor Econômico.

Appendix 5 – Market share of Brazil's leading brands (in %), 2008 to 2012

Brand/Store	Player	2009	2010	2011	2012
C&A	C&A Ltda	3.6	3.6	3.6	3.6
Renner	Lojas Renner SA	2.3	2.4	3.1	3.3
Riachuelo	Lojas Riachuelo SA	2.5	2.6	2.7	2.8
Marisa	Marisa SA	1.9	2.0	2.1	2.2
Hering	Hering Têxtil SA	1.1	1.4	1.7	1.7
Levi's	Levi Strauss & Co	0.5	0.5	0.5	0.5
Les Lis Blanc	Restoque SA	0.3	0.4	0.5	0.5
Zara	Zara Brasil Ltda	0.5	0.5	0.5	0.5
M Officer	M5 Indústria e Comércio SA	0.4	0.4	0.5	0.5
Dudalina	Dudalina	0.1	0.2	0.2	0.3
Forum	AMC Têxtil Ltda	0.7	0.6	0.5	0.4
Ellus	Inbrands SA	-	-	0.2	0.3
Colcci	AMC Têxtil Ltda	0.2	0.2	0.2	0.2
Richards	Inbrands SA	0.3	0.3	0.3	0.2
Calvin Klein	Phillips-Van Heusen Corp	0.1	0.1	0.2	0.2
VR	Inbrands	0.0	0.0	0.1	0.1

Source: Euromonitor and the authors (Dudalina's market share was calculated based on the company's sales revenue)

Appendix 6 – Per-capita spending on apparel by Brazilian consumers (in US\$), 2008 to 2013



Source: Euromonitor.

Appendix 7 – Location of Dudalina's production units and stores



Location of production units
Source: the authors.



Location of stores
Source: Dudalina

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Appendix 8 –Dudalina's brand logos and examples of garments by brand



Logo of the company Dudalina



Logo of the brand Dudalina Homem



Logo of the brand Dudalina Feminina



Logo of the brand Individual



Logo of the brand Base



Logo of the brand Base Feminina



Dudalina Feminina
Source: Instagram Dudalina.



Dudalina Masculina
Source: Instagram Dudalina.

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Individual

Source: Instagram Dudalina.



Base

Source: Instagram Dudalina.

Appendix 9 – Share of sales volume by brand (in %), 2010 to 2014

	2010	2011	2012	2013	2014
Base	28.67%	19.12%	11.91%	9.96%	9.09%
Base Feminino	-	-	-	0.65%	4.25%
Dudalina	16.42%	19.34%	23.20%	25.88%	27.27%
Dudalina Feminino	2.36%	26.06%	39.09%	35.39%	28.08%
Individual	52.54%	35.49%	25.79%	28.12%	31.32%

Source: Dudalina.

Appendix 10 –Dudalina's prices versus competitors (in R\$), 2014

Store	Product	Segment	Partial Average Price	Total Average Price	Dudalina versus Competitor
Men's garments					
Dudalina	Shirt	Men's	299.00	297.00	
	Pants		295.00		
Brooksfield	Shirt	Men's	277.00	277.75	+6%
	Pants		278.50		
Zara	Shirt	Men's	159.00	149.00	+50%
	Pants		139.00		
TNG	Shirt	Men's	84.00	91.50	+69%
	Pants		99.00		
Hering	Shirt	Men's	84.00	93.17	+69%
	Pants		102.33		
Colcci	Shirt	Men's	218.00	215.17	+28%
	Pants		212.33		
Buckman	Shirt	Men's	164.00	189.00	+36%
	Pants		214.00		
Crawford	Shirt	Men's	184.00	219.00	+26%
	Pants		254.00		
Harry's	Shirt	Men's	234.00	251.33	+15%
	Pants		268.67		
Lacoste	Shirt	Men's	349.00	324.00	-9%
	Pants		299.00		
VR	Shirt	Men's	249.00	274.00	+8%
	Pants		299.00		
Richards	Shirt	Men's	319.00	329.00	-11%
	Pants		339.00		
M. Officer	Shirt	Men's	178.33	188.67	+36%
	Pants		199.00		
Ricardo Almeida	Shirt	Men's	420.00	409.50	-38%
	Pants		399.00		
Women's garments					
Dudalina Feminina	Shirt/Blouse	Women's	299.00	297.00	
	Pants		295.00		
Ervadoce	Shirt/Blouse	Women's	184.00	181.50	+39%
	Pants		179.00		
Zara	Shirt/Blouse	Women's	135.67	157.33	+47%
	Pants		179.00		
Colcci	Shirt/Blouse	Women's	253.00	208.50	+30%
	Pants		164.00		
Armazém Ervadoce	Shirt/Blouse	Women's	219.00	209.00	+30%
	Pants		199.00		
Brooksfield Donna		Women's		384.00	-29%
Les Lis Blanc		Women's		200.00	+33%
BO.BÔ		Women's		596.00	- 101%
John		Women's		176.00	+41%
Rosa Chá		Women's		150.00	+49%

Source: Survey conducted by the authors in a shopping mall in the city of São Paulo. Data for Les Lis Blanc, BO.BÔ, John and Rosa Chá were taken from the site Restoque.

Appendix 11 –Informal apparel market and counterfeit Dudalina products



Source: <http://economia.ig.com.br/empresas/2013-11-19/dudalina-gasta-r-12-milhao-contra-produtos-piratas.html>

BRASIL ALIOFERTAS BRASIL Proteção ao Consumidor | Ajuda | Enviar para USD / Language

AliExpress CATEGORIAS Estou procurando por... Em todas as categorias

Início > Todas as categorias > Roupas & acessórios > Roupas e Acessórios - Feminino > Blusas - Feminino

mulheres de cor 33 dudalina camisa de algodão camisas femininas manga longa camisa polo masculina camisa ocasional homen top tee frete grátis
23 pedidos

Preço: **US \$ 19.00** / item

Expedição: **Expedição gratuita para Brasil via China Post Air Mail**
Estimativa de Entrega: 15-50 dias (envio dentro de 8 dias úteis)

Cor: [Grid of color swatches]

Tamanho: M L XL XXL

Quantidade: 1 item

Preço total: Depende das especificações selecionadas

Comprar agora **Adicione ao carrinho**

Adicione a lista de desejos (69 adicionados)

Devoluções: Aceitamos o retorno se o produto não for como descrito, o comprador pagará pelo o envio; ou manterá o produto e aceitará o reembolso do vendedor. Ver detalhes

Garantia do vendedor: Entregue em tempo **60 dias**

Vendido por
My Family Best Store
China (Mainland) (Zhejiang)

20 avaliações
81.3% Avaliações positivas
Avaliações detalhadas do vendedor

Visitar a loja

Contatar o vendedor
Entrar em contato agora

Vendedor online
Amily Dubo

Product ID: 2044271843 mulheres de cor 33 dudalina camisa d...
Share: [Social media icons]

Cadastre-se e compartilhe o website para ganhar pontos que poderão ser convertidos em cupons de compra.

Source: The authors, access to the site aliexpress.com on Oct. 11. 2014.

Appendix 12 – Dudalina production line



Machine for cutting fabrics



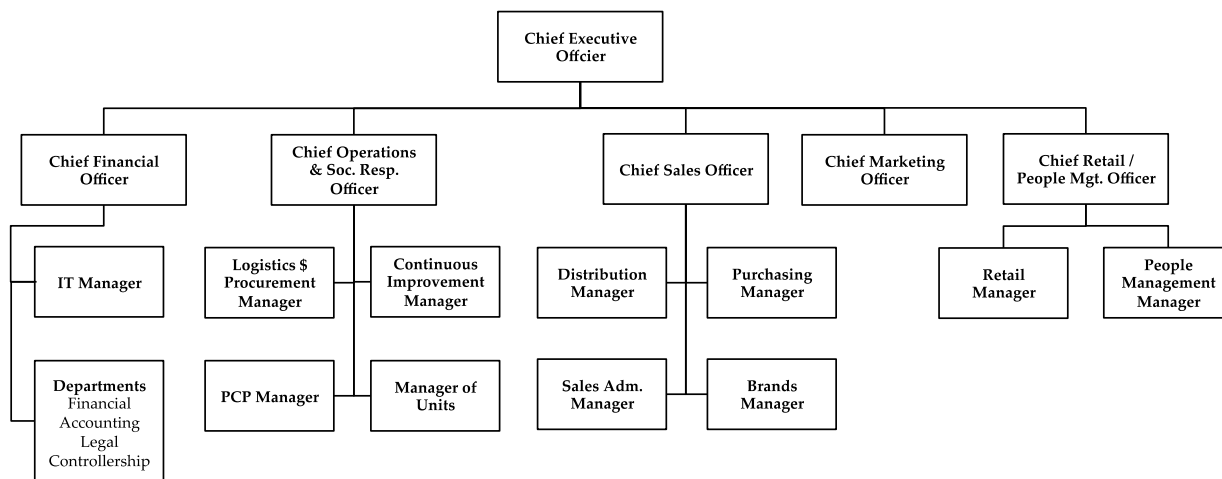
Machine for embroidering the company's logo



Production control board

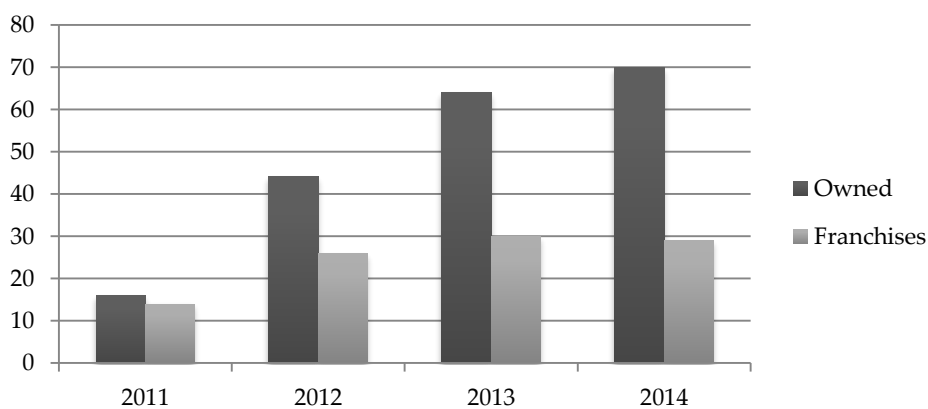
The above photograph shows the board used in Dudalina's production plants. The board is an important part of the continuous crossing system (VAC), since it controls in real time the production of individuals and groups. It identifies problems, delays and potential interruptions and monitors productivity, which increases productivity and provides information for employees' variable compensation system.

Appendix 13 – Organizational Chart



Source: Dudalina.

Appendix 14 – Number of Dudalina stores, owned and franchised, 2011 to 2014



Source: Dudalina

Appendix 15 – Income statement (amounts in R\$ '000), 2009 to 2013

	2009	2010	2011	2012	2013
NET REVENUE	120,807	150,743	227,307	341,979	435,454
COST OF GOODS SOLD	(77,289)	(86,884)	(112,516)	(139,521)	(170,700)
GROSS INCOME	43,518	63,859	114,791	202,458	264,754
OPERATING INCOME (EXPENSES)					
Selling	(18,691)	(24,052)	(42,087)	(69,766)	(99,076)
General and Administrative	(5,311)	(6,943)	(7,590)	(10,196)	(17,189)
Manager Compensation	(1,663)	(1,548)	(5,354)	(8,725)	(12,300)
Employee Profit Sharing			(5,859)	(12,276)	(14,685)
Other operating income (expenses), net	(1,74)	(30)	(738)	(3,643)	594
	(25,838)	(32,573)	(61,628)	(104,606)	(142,656)
OPERATING INCOME BEFORE FINANCIAL RESULT	17,679	31,286	53,163	97,852	122,098
FINANCIAL INCOME (EXPENSE)					
Financial expenses			(4,051)	(6,341)	(7,039)
Financial expenses, taxes	(516)	(995)			
Financial expenses, operational	(2,446)	(1,203)			
Currency translation gain (loss), active and passive	604	85	(1,000)	(1,106)	(1,296)
Financial income	538	1,452	9,391	11,301	16,403
	(1,821)	(661)	4,340	3,854	8,068
NET INCOME BEFORE INCOME AND SOCIAL CONTRIBUTION TAXES	15,858	30,625	57,503	101,706	130,166
Income and Social Contribution Taxes	(4,896)	6,039	(9,422)	(14,498)	(19,919)
Net Income before minority interests	10,963	24,587			
Employee Profit Sharing Program	(905)	(2,409)			
NET INCOME FOR THE FISCAL YEAR	10,058	22,177	48,081	87,208	110,247
Earnings per Share	0.83	1.85	3.63	6.58	8.32

Source: Dudalina